

When a pullback occurs, performance suffers. For example, in bull markets, patterns with pullbacks see price drop 14% after the breakout. Without pullbacks, the decline averages 16%. The bear market shows an even wider spread.

After a pullback completes, price resumes declining about half the time.

Table 61.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% down	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L -16%, M -14%, H -13%	L -23%, M -23%, H -29%
Pullback occurrence	66%	63%
Average time to pullback bottoms	-7% in 6 days	-11% in 6 days
Average time to pullback ends	11 days	12 days
Average decline for patterns with pullbacks	-14%	-21%
Average decline for patterns without pullbacks	-16%	-26%
Percentage price resumes trend	54%	51%
Performance with breakout day gap	-16%	-25%
Performance without breakout day gap	-15%	-22%
Average gap size	\$1.32	\$1.23

Gaps. Breakout day gaps help performance. I measured this by calculating performance using the breakout price, which is the opening price the day *after* the gap. Thus, you can open a trade after a gap appears and capture the better performance.

Table 61.5 shows pattern size statistics.

Height. Height is usually the best predictor of performance, and you can see that tall patterns in bull markets outperform short ones.